

Kawasaki Heavy Industries (7012.T): Conf. Call Takeaways: Progress confirmed on growth initiatives in PS&E, aerospace, and robots; Neutral

During the morning session on September 8, we hosted a conference call with the Kawasaki Heavy Industries IR Group for domestic and overseas investors. Below we summarize the points we think are worth highlighting.

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FY3/27 1Q results and full-year outlook: In line with company expectations in real terms; a degree of risk buffer remains in the raised guidance

1Q business profits of ¥35.8 bn came in above the company's internal plan on a ¥5.5 bn boost from the weaker yen and a ¥8.0 bn PS&E tariff refund, but the company explained that progress at the individual business level was in line with plan. It raised full-year business profit guidance by ¥10 bn to ¥180 bn, with the expected receipt of litigation settlement proceeds in the robot business the main driver of the increase. The PS&E business profit forecast was left unchanged despite the ¥8.0 bn IEEPA tariff refund booked in 1Q. Overall this was a conservative upward revision that includes a risk buffer, and the company said it may review guidance again from 2Q onward after examining risk factors.

PS&E (powersports & engines): Policy of strengthening a leaner management structure rather than focusing on volumes

On the market environment, the company commented that market growth in North America is resilient at +2% yoy for both motorcycles and four-wheelers. In terms of its own initiatives, it was apparent that the company is shifting its management strategy. First, the company commented that it has curbed production and wholesale volumes since April in order to contain inventory levels, moving to a leaner management structure. It also shared the view that, at the Mexico four-wheeler plant, it should not insist on 100% utilization and should accept utilization of around 80% depending on inventory levels. Kawasaki Motors oversees the PS&E business. The company said Kawasaki Motors is running the business with greater emphasis on the balance sheet and has put in place a structure to contain sales promotion expenses and fixed costs. Indeed, in 1Q results, higher SG&A expenses were a negative factor for yoy profit changes across many segments, while in PS&E they contributed positively to profit growth.

On PS&E's medium- to long-term profitability, the company expressed the view that it can consistently secure a business profit margin of 8% absent major external shocks. It said that developed-market motorcycles and general-purpose gasoline engines are currently maintaining high levels of around 10%, and that

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emerging-market motorcycles are also in the black despite lower profitability than these categories. It commented that an early and stable return to profitability in the four-wheeler business is nevertheless key to achieving the 8% margin for PS&E. The company said the specific timing of the four-wheeler turnaround and the resulting achievement of an 8% segment margin depends on the market environment, whether that is next fiscal year or the year after. Even so, some bright signs are beginning to emerge, with retail sales of its premium utility model Ridge up nearly 80% yoy. The company commented that some pain accompanying the leaning out of its operations is within expectations for FY3/27, and that this is one reason guidance was left unchanged.

Aerospace systems: Company shares outlook for profit recovery from 2Q onward

On the airframe side, the company explained that 1Q was a slow start with a business loss of ¥1.8 bn, as costs for removing existing equipment ahead of production increases were concentrated in the quarter, combined with the usual slight skew of fixed costs toward 1Q. While initial investment and training costs related to the production ramp-up will continue to be incurred, the company commented that the likelihood of a profit recovery from 2Q onward is high, emphasizing that the underlying trend is on track. On the engine side, the aftermarket ratio declined to just over 40% on increased shipments of new-build PW1100G engines, but this was in line with initial guidance, and the company maintains its outlook for the aftermarket ratio to finish the year at around 46%.

Precision machinery & robots: Some headroom in production capacity for semiconductor robots, but additional investment also under way

In 1Q, business conditions for the robot business were generally solid, led by semiconductor robots, but segment business profits were only at breakeven. Factors behind the slow start included the concentration in 1Q of restructuring costs for general-purpose robots in China such as picking and palletizing models, and the booking of equity-method losses associated with obtaining European certification for the hinotori surgical robot.

For the full-year outlook, the company raised its business profit forecast by ¥10 bn, reflecting the expected booking of settlement proceeds from 2Q onward and the mix for semiconductor manufacturing equipment. In terms of the underlying profit outlook, full-scale recognition of semiconductor robot sales comes in 3Q-4Q and spare parts sales are concentrated in 4Q, so excluding one-off effects, both sales and profits are expected to rise steadily through 2H. The FY3/27 sales outlook for semiconductor robots is a record-high ¥53.5 bn, but the company commented that past capital investment leaves a degree of headroom in production capacity. It said it is targeting sales of ¥100 bn in the future and has already begun additional capacity expansion investment, partly funded by the proceeds from the public share offering. In addition to market growth for semiconductor robots, the company said the sales outlook is bright thanks to the start of new mass production of handling robots for vacuum processes. The company commented that profitability for semiconductor robots stands out within its robot business, although it does not disclose specific levels. Automotive and general industry applications have below-average margins, and the company emphasized its policy of improving profitability in general industry by localizing its China operations, including development and procurement.

ES&M (energy solutions & marine engineering): Reaffirms policy of maintaining shipbuilding profitability

The company commented that the downward revision to FY3/27 orders guidance reflects the loss of visibility on signing a Middle East oil project within FY3/27, a project for which it has a past track record. Regarding the possibility of concluding the contract from next fiscal year onward, the company said the situation is unclear at present but that it does not regard the project as cancelled. It also explained that other large projects are in sight and that there are no concerns such as surplus personnel.

In domestic shipbuilding, the average margin remains low at around 6% due to the impact of some relatively low-margin submarine contracts that remain, but the company said the margin rises to around 10% when looking only at commercial vessels for LPG and ammonia. It said it has reached this level of profitability through consecutive construction, even with only one of the three docks at its Sakaide Works in operation.

Regarding the government policy on LNG carrier construction at Sakaide that has been covered in some media reports, the company said it is aware of the reports, adding that nothing has been decided and that the matter is only at an initial study stage. It cited profitability and technology as the main hurdles. It said that, having already secured profitability of around 10% in domestic commercial vessels, it would need to secure profitability in LNG that does not erode this. On the technology side, the company said around 10 years have passed since it last built an LNG carrier, and that the mainstream tank type for LNG carriers has shifted to the membrane type from the Moss type it has experience with, presenting a technological hurdle. It also mentioned supply chain challenges. Even if it were to pursue commercialization of LNG carriers, the company commented that monetization would likely come only in 2030 or later at the earliest.

The shipbuilding business remains labor-intensive, and the company is developing its own shipbuilding robots, partly using government subsidies. It said it will pursue development at speed, also using funds raised through the recent financing. It also noted that it is working to improve productivity at its shipyards through the use of digital twins on Omniverse.

Our view

We think 1Q results broadly confirmed progress in laying the groundwork for future growth, including upfront costs for production increases in aerospace and restructuring in robots. The company's policy of accelerating development and commercialization using funds raised in the recent public offering was also evident in several areas. Overall, however, uncertainty in the external environment persists, led by PS&E, and we expect earnings to continue tracking in line with our estimates, at levels close to consensus. From a relative perspective within our coverage, we maintain our Neutral rating.

Price Target Risks and Methodology – Kawasaki Heavy Industries (7012.T)

Our 12-month target price of ¥3,200 is based on FY3/28E EV/EBITDA, applying the Japan Aerospace & Defense subsector-average multiple of 14X and a 30% sector-relative discount.

The key upside and downside risks include (1) yen depreciation/appreciation relative to our assumed exchange rate, (2) faster-/slower-than-expected expansion of defense order and revenue momentum, (3) lower-/higher-than-expected cost variability in

PS&E, particularly promotional expenses in the North American four-wheeler business, and (4) faster-/slower-than-expected progress on portfolio restructuring and the turnaround of low-profitability segments, with implications for the conglomerate discount.

7012.T12m Price Target: **¥3,200**Price: **¥2,386**Upside: **34.1%****Neutral****GS Forecast**

Market cap: ¥2.0tr / \$12.9bn
 Enterprise value: ¥2.4tr / \$15.7bn
 3m ADTV: ¥35.6bn / \$221.7mn
 Japan
 Japan Industrials
 M&A Rank: 3
 Leases incl. in net debt & EV?:
 Yes

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	2,311.3	2,630.0	2,900.0	3,160.0
Op. profit (¥ bn)	145.1	185.0	205.0	248.0
Op. profit CoE (¥ bn)	145.0	180.0	—	—
EPS (¥)	129.4	138.6	148.9	179.8
P/E (X)	17.3	17.2	16.0	13.3
P/B (X)	2.1	2.0	1.8	1.7
Dividend yield (%)	1.5	1.7	1.9	2.1
N debt/EBITDA (ex lease,X)	2.0	1.2	1.1	1.0
CROCI (%)	7.2	9.8	10.0	10.7
	6/26	9/26E	12/26E	3/27E
EPS (¥)	18.7	27.4	38.3	54.2

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 8 Sep 2026 close.

Disclosure Appendix

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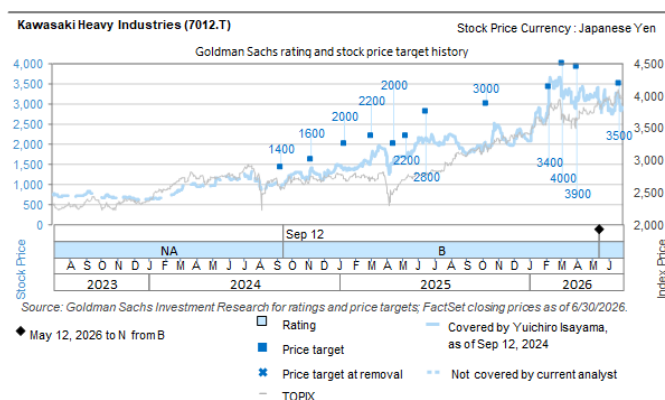
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Kawasaki Heavy Industries (7012.T)

Date of report Target price (¥) Closing price (¥)

07-Aug-26	3,200	2,779
23-Jun-26	3,500	3,081
03-Apr-26	3,900	3,161
06-Mar-26	20,000	3,268
09-Feb-26	17,000	3,391
10-Oct-25	15,000	1,945
18-Jun-25	14,000	2,137
09-May-25	11,000	1,655
17-Apr-25	10,000	1,621
05-Mar-25	11,000	1,700
12-Jan-25	10,000	1,411
09-Nov-24	8,000	1,406
12-Sep-24	7,000	917

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